Aurora Robotics, Inc.

Fiscal 2025 Annual Report — Excerpt

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Letter to Shareholders

Fiscal 2025 was a breakout year for Aurora Robotics. Revenue grew 23.4% to $482.6 million, up from $391.2 million in fiscal 2024, driven by strong demand for our warehouse automation systems and the first full year of our recurring fleet-management software. We expanded into three new regions and signed 41 new enterprise customers, bringing our total to 318.

Profitability improved meaningfully. Gross margin expanded to 59.1% from 55.7% as software mix rose and manufacturing yields improved. Operating income was $61.4 million, a 12.7% operating margin, compared with $34.8 million in fiscal 2024. Net income was $48.2 million, up 77.9% from $27.1 million, and diluted earnings per share were $1.21 versus $0.70 a year earlier.

We continue to invest for the long term. Research and development expense was $92.5 million, or 19.2% of revenue, as we scaled our perception and motion-planning teams. We ended the year with a record order backlog of $640 million, which gives us strong visibility into fiscal 2026.

Management's Discussion and Analysis

Revenue. Product revenue was $356.9 million in fiscal 2025, an increase of 14.9% year over year. Software and services revenue grew 56.2% to $125.7 million and now represents 26.0% of total revenue. Revenue in North America was 54% of the total, Europe 31%, and Asia-Pacific 15%.

Margins and expenses. Gross profit was $285.0 million. Selling, general and administrative expense rose 9.8% to $131.1 million, below the pace of revenue growth, which produced operating leverage. We expect gross margin to remain in a range of 58% to 60% in fiscal 2026.

Cash flow and liquidity. Cash provided by operating activities was $73.9 million. Capital expenditures were $21.4 million, resulting in free cash flow of $52.5 million. We ended the year with cash and cash equivalents of $214.7 million and total debt of $120.0 million, which matures in 2029. We do not expect to need additional external financing to fund our plan.

Industry context. We believe the global warehouse automation market is growing at only about 6% per year through 2030, and that e-commerce accounts for about 20% of global retail sales.

Consolidated Statement of Operations (US$ millions, except per-share data)

	FY2025	FY2024	Change
Revenue	482.6	391.2	+23.4%
Gross profit	285.0	218.1	+30.7%
Research & development	92.5	78.3	+18.1%
Selling, general & administrative	131.1	119.4	+9.8%
Operating income	61.4	34.8	+76.4%
Net income	48.2	27.1	+77.9%
Diluted EPS ($)	1.21	0.70	+72.9%

Selected Balance Sheet Data (US$ millions)

	Dec 31, 2025	Dec 31, 2024
Cash and cash equivalents	214.7	168.3
Total assets	712.3	603.9
Total debt	120.0	135.0
Total stockholders' equity	398.6	331.2

Risk Factors (Summary)

Customer concentration. Our ten largest customers accounted for 46% of revenue in fiscal 2025, and the loss of any one of them could harm our results.

Supply chain. We depend on a limited number of suppliers for advanced sensors and motor controllers. Shortages or tariff changes may adversely affect gross margin and our ability to deliver on backlog.

Competition and technology. Larger competitors may price aggressively, and rapid advances in general-purpose robotics could reduce demand for our current products.

Foreign exchange. About 46% of revenue is generated outside the United States; a stronger dollar would reduce reported revenue.

Outlook for Fiscal 2026

For fiscal 2026 we expect revenue guidance of $560 million to $580 million, representing growth of 16% to 20%, and operating margin of approximately 14%. We plan capital expenditures of about $30 million and will continue to prioritize research and development, which we expect to be roughly 18% of revenue.